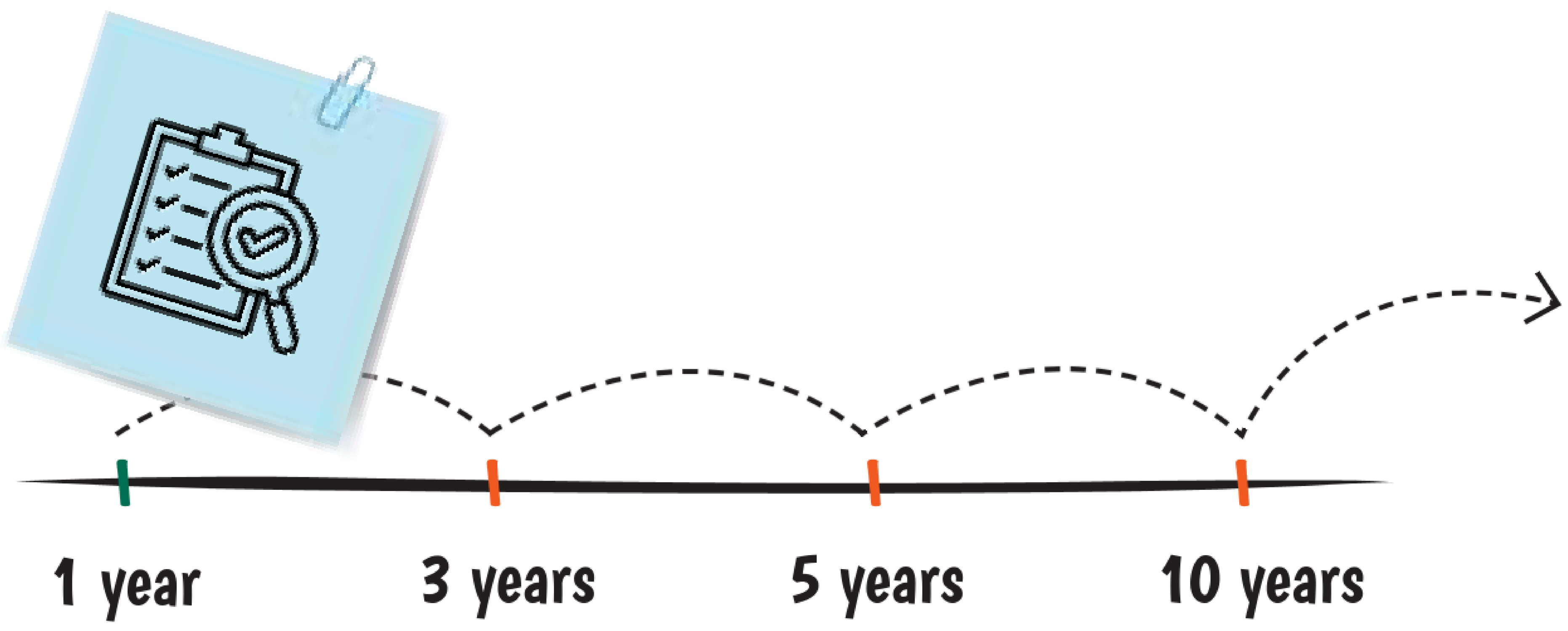
iii. Evaluate the performance



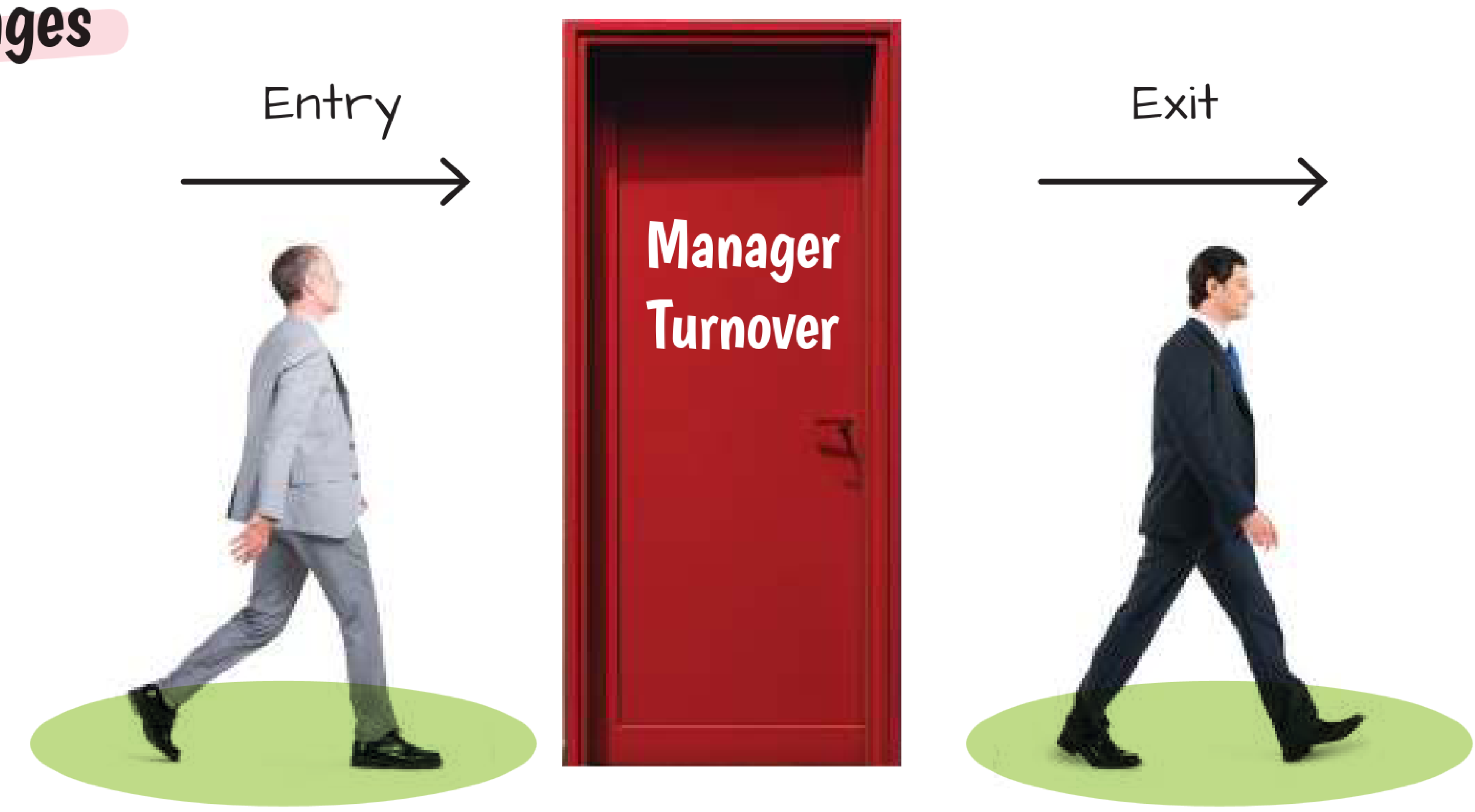
Examine the fund's performance over the last 1, 3, 5, and 10 years. Look for consistency in returns over these periods.

Step 2: Selection of a Fund

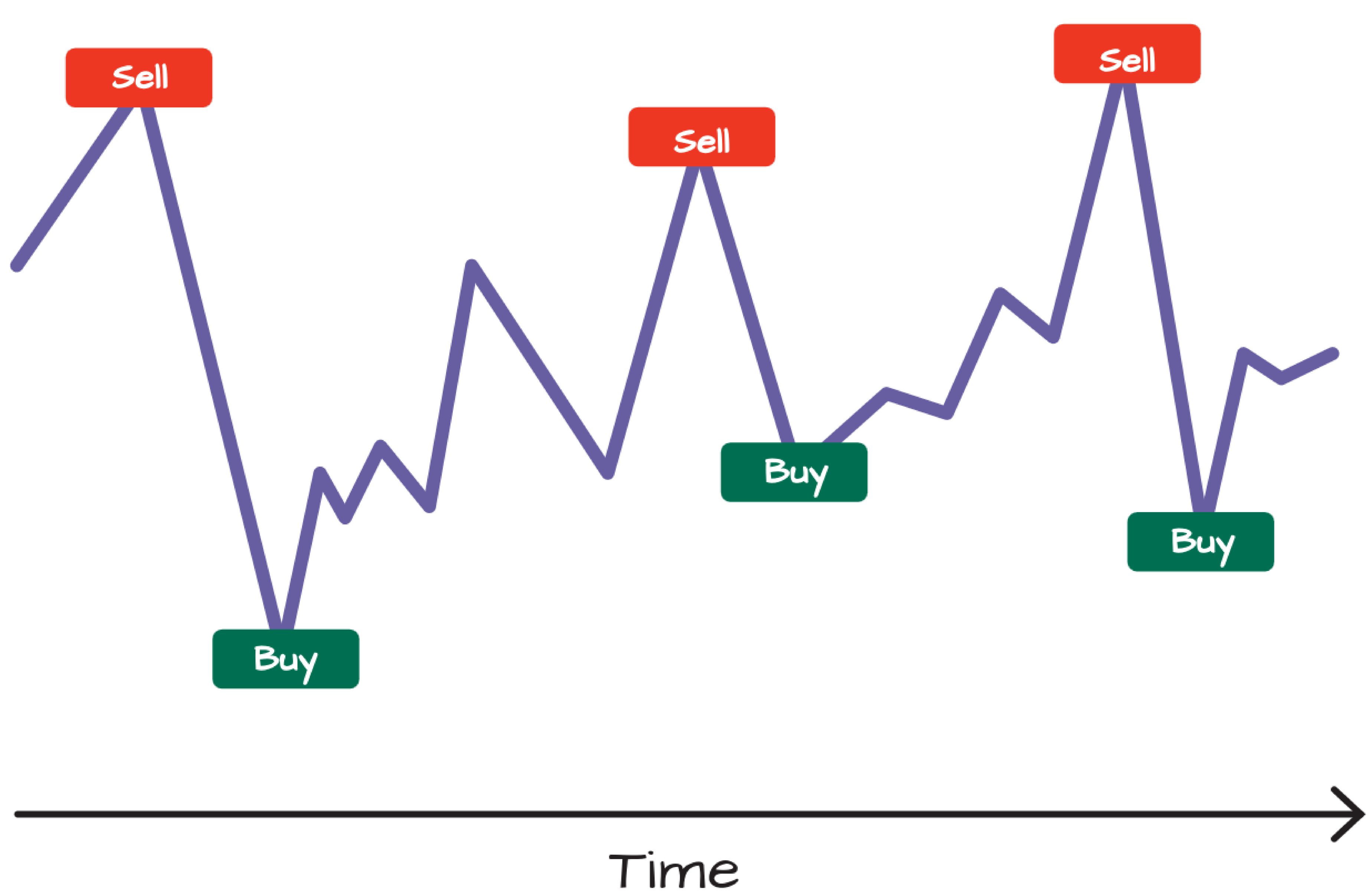
Choose the top 3 schemes that meet the criteria mentioned in Step 1. Now, apply additional filters to narrow it down to a single fund. The date for this part will be available in the Mutual Fund's Factsheet or their website.
Note: Learn to read Factsheets on page 344.

i. Fund Manager Changes

When considering a mutual fund, keeping track of changes in fund managers over the past five years is crucial. A high frequency of manager turnover makes it difficult to distinguish whether the fund's returns are due to skill or simply luck.



ii. Portfolio Turnover Ratio



Portfolio Turnover Ratio is a measure that indicates how frequently a mutual fund buys and sells assets over a period of time.

Here, TER should be less than 50% for actively managed large cap and flexi cap fund. And less than 100% for mid and small cap funds